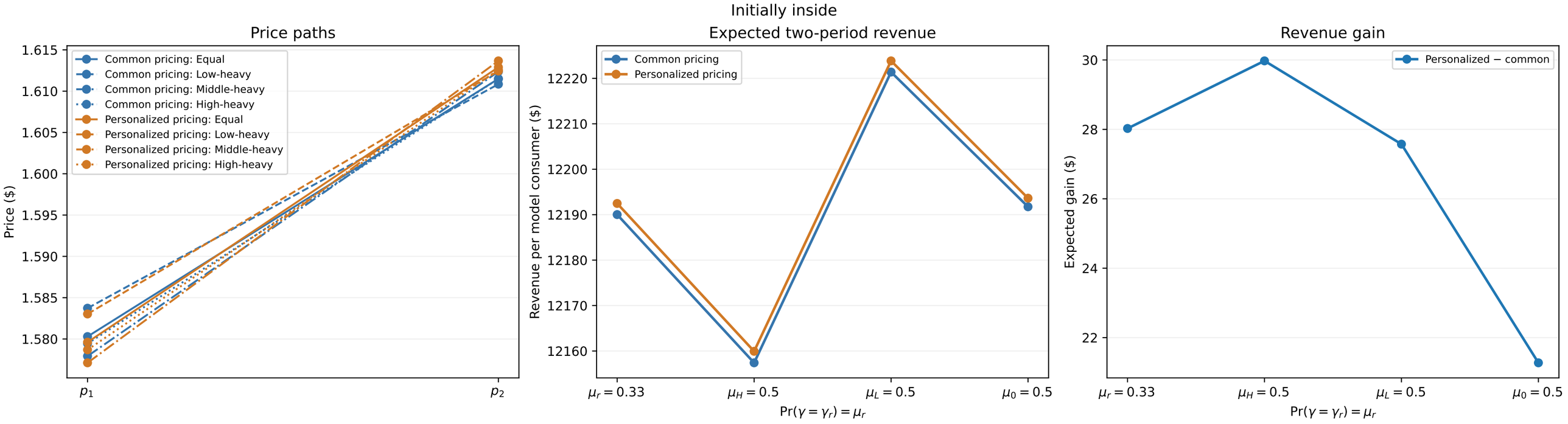
Initially inside
Price paths
Common pricing: Equal
Common pricing: Low-heavy
Common pricing: Middle-heavy
Common pricing: High-heavy
Personalized pricing: Equal
Personalized pricing: Low-heavy
Personalized pricing: Middle-heavy
Personalized pricing: High-heavy
Price ($)
1.615
1.610
1.605
1.600
1.595
1.590
1.585
1.580
p_1
p_2
Expected two-period revenue
Common pricing
Personalized pricing
Revenue per model consumer ($)
12220
12210
12200
12190
12180
12170
12160
$\mu_r = 0.33$
$\mu_H = 0.5$
$\mu_L = 0.5$
$\mu_0 = 0.5$
$\Pr(\gamma = \gamma_r) = \mu_r$
Revenue gain
Personalized − common
Expected gain ($)
30
28
26
24
22
$\mu_r = 0.33$
$\mu_H = 0.5$
$\mu_L = 0.5$
$\mu_0 = 0.5$
$\Pr(\gamma = \gamma_r) = \mu_r$